

Table 3: Performance of trend-following reversal strategies.

Reported is the performance of 4 sub-portfolios sorted by both time series continuation and reversal using volatility scaling to determine the weight. Decomposition method of the 4 sub-portfolios can be seen in Figure 1. The strategy signals are renewed every month and the holding period is 1 month. Each subgroup is constructed by evaluating whether the underlying trend-following profit is realised or not under a (j, h) scheme, where $j = 12$, is the trend-following look-back period and $h = 1, 3, 6, 12$ denotes the trend-following holding periods shown in different panels. We compute the annualised mean, Newey-West t-statistics (***) $p < 0.01$; ** $p < 0.05$; * $p < 0.1$), annualised volatility/standard error, Sharpe Ratio and maximum drawdown for each strategy. The performance is evaluated based on a dataset spanning from January, 1985 to March 2015. The realised winner and contrarian loser exhibit strong performance with the t-statistics being significant at the 1% level across different (j, h) schemes.

	TSM				RSM			
	Realised Winner	Realised Loser	Contrarian Winner	Contrarian Loser	Realised Winner	Realised Loser	Contrarian Winner	Contrarian Loser
Panel A: (12,1)								
Annualised Mean	0.218	0.044	0.151	0.098	0.220	0.041	0.141	0.105
Newey-West t-statistics	5.842***	0.899	4.061***	2.944***	5.510***	0.883	3.709***	2.584***
Annualised Volatility	0.200	0.224	0.200	0.211	0.204	0.233	0.209	0.235
Sharpe Ratio	1.087	0.195	0.754	0.465	1.080	0.176	0.678	0.444
Maximum Drawdown	0.294	0.770	0.515	0.458	0.297	0.755	0.528	0.673
Panel B: (12,3)								
Annualised Mean	0.265	0.074	0.036	0.165	0.262	0.085	0.054	0.155
Newey-West t-statistics	7.454***	1.780*	1.008	4.019***	7.216***	2.000**	1.344	3.571***
Annualised Volatility	0.209	0.219	0.190	0.221	0.213	0.227	0.199	0.224
Sharpe Ratio	1.269	0.338	0.187	0.749	1.231	0.376	0.272	0.693
Maximum Drawdown	0.213	0.517	0.614	0.472	0.267	0.530	0.492	0.548
Panel C: (12,6)								
Annualised Mean	0.177	0.060	0.092	0.150	0.204	0.028	0.104	0.088
Newey-West t-statistics	4.027***	1.532	2.705***	4.283***	4.781***	0.678	2.632***	2.103**
Annualised Volatility	0.217	0.221	0.195	0.207	0.225	0.223	0.217	0.216
Sharpe Ratio	0.815	0.273	0.473	0.726	0.907	0.124	0.477	0.406
Maximum Drawdown	0.363	0.558	0.432	0.378	0.448	0.661	0.409	0.527
Panel D: (12,12)								
Annualised Mean	0.193	0.031	0.007	0.207	0.189	0.049	-0.002	0.183
Newey-West t-statistics	4.969***	0.738	0.151	5.313***	5.063***	1.157	-0.053	4.462***
Annualised Volatility	0.212	0.230	0.221	0.216	0.211	0.225	0.228	0.229
Sharpe Ratio	0.911	0.137	0.034	0.958	0.899	0.220	-0.010	0.799
Maximum Drawdown	0.365	0.705	0.776	0.332	0.349	0.596	0.791	0.486